

are needed for spending. This assumption creates reinvestment risk if short-term TIPS yields are negative at that future date, but it is the best that can be done in practice under these circumstances.

Fourth, for the first year of the bond ladder, I assume that cash is held instead of purchasing a bond for that year's spending. The impact of this is minimal in terms of possibly missing a short period of interest.

Finally, I assume that fractional shares of bonds can be sold. In practice, bonds can only be purchased in increments of \$100 or \$1,000, and there will be minor fluctuations around meeting an income target with maturing issues.